The payout superstition is a great story, but is this really how the world works from an empirical standpoint?

Arnott and Asness looked at historical payout ratios and earnings growth of stocks broadly representative of the market. Figure 4.2 is a scatterplot showing payout ratios and subsequent 10-year real earnings growth from 1946 to 2001.

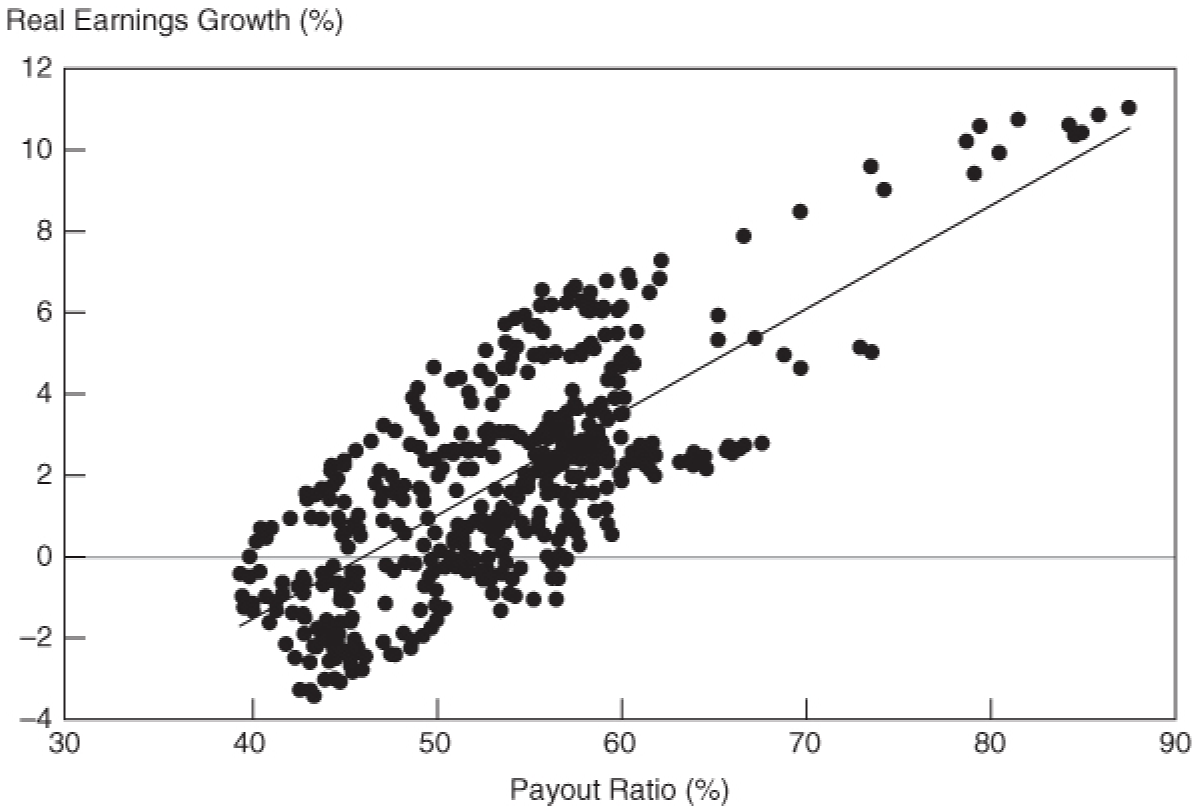

Figure 4.2 Scatterplot of Payout Ratio vs. Subsequent 10-Year Real Earnings Growth, 1946–2001 Data

The evidence definitely indicates that there is a relationship between the payout ratio and future earnings growth. But it is not the relationship we expected. Instead, it is higher dividend-payout ratios that predict higher growth, while lower payout ratios predict lower growth—the opposite of the payout superstition. As a two-year-old says after dropping food from the table: "*Uh-oh*." The results are completely backward—it's precisely the opposite of what we expect.

Asness and Arnott suggest a few hypotheses for why this might be true: